Handbook of Human Resource Management in the Middle East

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Contents

List of contributors vii
Preface x

PART I CONTEXTUAL AND FUNCTIONAL ISSUES

1 The Middle East context: an introduction 3
Pawan S. Budhwar and Kamel Mellahi

2 Cultural perspectives in human resource management in the Middle East and North Africa 15
Pari Namazie and Barbara Covarrubias Venegas

3 Society-level factors impacting human resource management in the Middle East 35
Wes Harry

4 Performance appraisal systems in the Middle East 49
Antonio Giangreco and Jacob Vakkayil

5 Talent management in the Middle East 63
Salma Raheem

PART II COUNTRY AND REGIONAL PERSPECTIVES

Section A Human Resource Management in the Gulf Cooperation Council Countries 85

6 Human resource management in Oman 87
Misida Al-Jahwari and Pawan S. Budhwar

7 Human resource management in the United Arab Emirates 123
Marie F. Waxin and Rob E. Bateman

8 Human resource management in Saudi Arabia 141
Hayfaa A. Tlaiss and Abdallah Elamin

Section B Human Resource Management in Levant Countries 159

9 Human resource management in Iran 161
Pari Namazie and Amir Mohammad Pahlavnejad

10 Human resource management in Lebanon 180
Fida Afiouni and Sinine Nakhle

BUDHWAR 9781784719517 PRINT (M4083).indd 5 08/09/2016 16:18

Section C Human Resource Management in North Africa 203

11 Human resource management in Egypt 205
Ghada El-Kot

12 Human resource management in Algeria 226
Boumediene Ramdani, Kamel Mellahi and Cherif Guermat

13 Human resource management in Morocco 244
Abderrahman Hassi

PART III EMERGING THEMES AND FUTURE OF HUMAN RESOURCE MANAGEMENT IN THE MIDDLE EAST

14 Employment relations of domestic workers in Kuwait: the employer's perspective 263
Khaled Al-Ajmi, Manjusha Hirekhan, Pawan *S*. Budhwar and Sneha Singh

15 Labour localisation and human resource management practices in the Gulf countries 284
Marie F. Waxin and Rob E. Bateman

16 Expatriate management across the Middle East and North Africa region 309
Edelweiss C. Harrison and Arno Haslberger

17 Talent management practice in Oman: the institutional perspective 327
Rayya Al Amri, Alison J. Glaister and David P. Spicer

18 Privatisation, investments and human resources in foreign firms operating in the Middle East 339
Faten Baddar AL-Husan and Fawaz Baddar ALHussan

19 A blueprint for the role of human resource management in corporate social responsibility in the Middle East 367
Dima Jamali and Ali El Dirani

20 Human resource management in the public sector in the Middle East 379
Nelarine Cornelius, Eric Pezet, Ramin Mahmoudi, and Dima Ramez Murtada

21 Wasta in the Jordanian context 393
Mohammad Ta'Amnha, Susan Sayce, and Olga Tregaskis

22 Towards a framework for the analysis of labour localisation practices in Saudi Arabia and the Gulf Cooperation Council countries 412
Yassir Abdulaziz Nasief

23 Human resource management in the Middle East: state of the field and directions for future research 427
Kamel Mellahi and Pawan S. Budhwar

Index 437

11. Human resource management in Egypt

Ghada El-Kot

INTRODUCTION

Recently, Afiouni, Ruël and Schuler (2014) noted that there is a growing interest in contextualization research in human resource management (HRM); however, little is known about HRM in Egypt (Burke and El-Kot, 2011), other Arab countries (Afiouni, Karam and El-Hajj, 2013) or in the Middle East (Budhwar and Mellahi, 2007) as there is less literature available on these parts of the world (Afiouni, Karam and El-Hajj, 2013). Accordingly, there is no clear picture about the current or best human resource (HR) practices in the Arab Middle East region, which adds some challenges to HR implementation in the region (Afiouni, Karam and El-Hajj, 2013). The HR role is one of the critical challenges for the Arab organizations that need attention to enhance competitive advantage in the global economy (Sabri and Rayyan, 2014).

The role of HR departments in Egypt, like in most Arab countries, mainly focuses on the administrative work in dealing with employees from the entry stage (recruitment) through to the leaving stage (retirement) (Budhwar and Mellahi, 2007). There are some challenges to the development of HR in Egypt, such as those related to employment, external competition, adoption of new technology, privatization, vulnerable groups (child labour and gender discrimination) and training. Egypt is also facing other challenges such as a lack of government transparency and disrespect for personal/human rights and dignity (World Bank, 2014). A high level of corruption and crony capitalism, along with a high level of favouritism, has probably added to Egyptians' sense of unfairness, Egypt also suffers from a high unemployment rate, high poverty rate, low foreign direct investment and low standards of living (Abdou and Zaazou, 2013; Ghanem, 2013). In addition to the absence of social justice (Mansour, 2012) and economic and political reforms in Egypt (Ghanem, 2013), all these challenges, and the resultant social inequality and political instability, led to the Egyptian revolution in January 2011.

The Egyptian revolution has played an important role in changing Egyptians' attitudes and behaviour towards their country (Kirby and Ibrahim, 2012). Its aim was to improve the well-being of Egyptians (A'aish) and increase freedom (Horraya) and social justice (Adalaa Egtemaia), which continue to pose a challenge to economic rejuvenation, employment creation, poverty alleviation and improvements in standards of living. For the Egyptian revolution to have any positive and lasting effect on the quality of life of Egyptians, there must be economic growth. This economic growth is likely to come from younger Egyptians who are interested in entrepreneurial activity and business start-ups and the upcoming generation of managers and professionals working in larger organizations (Burke and El-Kot, 2011).

These challenges could have an effect on the kind of jobs that may be created in the Egyptian context and raise the issue of the importance of the HRM policies that should be implemented (ILO, 2010; Burke and El-Kot, 2011). Seventy-five per cent of Egyptians

BUDHWAR 9781784719517 PRINT (M4083).indd 205 08/09/2016 16:18

are under the age of 25, with just 3 per cent over the age of 65; making Egypt one of the most youthful populations in the world. Therefore, focusing on the youth for Egypt's development and for attracting investment, improving the business environment, supporting large and medium size firms and promoting entrepreneurship are all needed to reduce unemployment by creating decent jobs for youth. According to an International Monetary Fund report (IMF, 2015), the Egyptian government has developed a plan centred on structural reform and investment promotion to raise growth and create jobs. Leat and El-Kot (2007) identify HR development as a critical factor in determining the ability of Egyptian organizations to effectively confront external competition and to make the best use of new technology. There is also a need to utilize the concept of talent management to encompass employee development, recruitment, selection and retention issues. Therefore, it is suggested that firms need to embrace new technologies to attract talent, and to embrace flexible working and contracts to enable more women to work. This would help in the creation of wealth and jobs.

This chapter aims to highlight the critical importance of effective HRM with an appropriate staff that needs to be recruited, trained and developed to implement new technologies, practices and ideas and enable Egyptian organizations to compete internationally in the global economy (Burke and El-Kot, 2011). The chapter is divided into three main parts. It begins with a description of the Egyptian business context by highlighting the importance of understanding the socio-culture and religion that affect HRM implementations in organizations. Core HR practices in Egypt, including recruitment and selection, training and development, performance appraisal, and rewards and benefits, are then reviewed and analysed. Finally, an overview of the key challenges and opportunities for future developments in HR in Egypt is provided.

EGYPTIAN BUSINESS CONTEXT

In a regional context, Egypt is especially important as it is the largest single market in the region, with a rapidly growing population, reaching almost 85 million in 2015 (Egypt Government Profile, 2015). The Egyptian economy is being transformed, with a growing contribution towards the gross domestic product (GDP) from the private sector. In 2013, the GDP growth for Egypt was 2.0 per cent, and this is expected to be 6.5 per cent by 2018 (Egypt Economic Statistics and Indicators, 2014). Egypt's economic growth depends mainly on the agriculture, media, petroleum exports, natural gas and tourism sectors. Unemployment remained high at 13.1 per cent in the third quarter of 2014, as reported by the IMF (2015). In 2015, Egypt witnessed major positive developments towards economic growth and political stability. Afiouni, Ruël and Schuler (2014) mention the important association between political reform and economic reform. The Egyptian government, after the revolution, is committed to boosting economic growth, attracting investment and paving the way for social justice (Egypt 2030 vision).

The World Factbook by the Central Intelligence Agency (CIA, 2015) highlights that Egypt, from 2004 to 2008, aggressively pursued economic reforms to attract foreign investment and facilitate growth. After the unrest erupted in January 2011, the Egyptian government backtracked on economic reforms, drastically increasing social spending to address public dissatisfaction, but political uncertainty at the same time caused economic

growth to slow significantly, reducing the government's revenues. This report mentions that tourism, manufacturing and construction were among the hardest hit sectors of the Egyptian economy, pushing up unemployment levels, and economic growth remains slow amid political uncertainty, government transitions, unrest and cycles of violence. El Saady (2011) argues that the Egyptian economy should absorb the shocks generated from the recent political transformation by empowering the small and medium size enterprise (SME) sector, which is expected help the Egyptian economy grow. The government proposed 28 mega projects in the Economic Summit in March 2015 (Ministry of Investment, 2015). These projects include both the governmental and private sector and are considered as a cornerstone for Egypt's growth (IMF, 2015). They cover different sectors such as energy, tourism, housing, mining, agriculture, transportation and logistics, information and communication technology and manufacturing, with more focus on SMEs. Examples of these mega projects include the Suez Canal area development, agricultural land reclamation of one million acres, building one million social housing units, creating new development axes, the establishment of a number of storage and logistics centres in Damietta, and the development of the north-west coast.

Due to the Egyptian revolution in 2011, Egypt is suffering from political uncertainty and economic slowdown, hence its government has started to implement policies to raise growth, create jobs and restore economic stability (IMF, 2015). Egypt scores high on Hofstede's index of uncertainty avoidance (El-Kot and Leat, 2002), hence HRM practitioners needs to be aware that employees may resist developmental opportunities that involve learning new skills. Therefore, HRM needs to reduce ambiguity by preparing detailed plans and schedules, providing a structure for change, providing management with detailed returns on investment and reassuring employees that they will be equipped with the skills they need to adjust to the changes (Ismail, 2010). The focus should be on job creation for youth that would help them find decent jobs, with the aim of decreasing the unemployment rate in Egypt among educated youth, male and female (Saddi et al., 2012; IMF, 2015; Farid, 2014). Job creation is considered as the main priority to deal with the high percentage of unemployment among male and female youth in Egypt. This has implications for HRM in Egypt in focusing on recruiting and training the right employees for the new jobs; further attention can be given to youth education programmes, with more focus on vocational education and vocational training to fit with the many jobs that will be needed for the mega projects. Female participation in work in Egypt needs attention and requires more development. HR policies and practices concerning labour law should also be considered, especially with the foreign investment that the Egyptian government is trying to encourage. Training is one of the important HRM practices that needs more development, especially in regard to delivering soft and other skills needed for generating entrepreneurship in Egypt.

Socio-Cultural Context and Religion

Afiouni, Ruël and Schuler (2014) argue that the political reform in the Middle East region is unprecedented, and both political challenges and economic reforms are associated with each other. They also note that HRM practices in the Middle East region differ from country to country due to cultural factors, religion, employment policies, and their implications for employees. These factors have impacts on the implementation of HRM

in any country. This section will focus on investigating some of these factors in Egypt to see their impact on HRM implementation.

The politics of Egypt are based on republicanism, with a semi-presidential system of government. Following the revolution of 2011, and the resignation of President Hosni Mubarak, executive power was assumed by the Supreme Council of the armed forces, which dissolved the parliament and suspended the constitution. In 2014, AlSisi was elected as Egypt's seventh president. The political system in Egypt is divided into the executive authority, the judiciary authority and the legislative authority, which includes the 'People's Assembly' – '*Maglis El-Shaab*' – and the 'Consultative Council' – '*Maglis El-Shura*'.

Egypt's new constitution of 2014 focuses on six chapters, which include 247 articles emphasizing Egyptians' welfare. Among these important articles, the constitution focuses on building a modern democratic state with a civil government. It also closes the door on any corruption, affirms that the principles of Islamic Sharia are the principal source of legislation, and that the reference for interpretation thereof is the relevant texts in the collected rulings of the Supreme Constitutional Court. The constitution is expected to achieve equality between Egyptians in terms of rights and duties, with no discrimination. It paves the way to a future for Egyptians which is in line with the Universal Declaration of Human Rights, maintains Egyptians' freedom and protects the nation against every threat to it.

According to the Egyptian constitution, political parties are allowed to exist. However, religious political parties are not allowed, as this would not respect the principle of non-interference of religion in politics and that religion has to remain in the private sphere to respect all beliefs. As of 2012, there were more than 40 registered political parties in Egypt, the largest among them being the Freedom and Justice Party, Al-Nour Party, New Wafd Party, Free Egyptians Party, Justice Party, Wasat Party, and the Egyptian Social Democratic Party. The variety of political parties provides diversity in the political life of Egypt. Political participation, including women's and youth's involvement in the political life of Egypt, is considered as an important factor for Egyptians' future. However, per the 2014 World Press Freedom Index, Egypt is ranked 159 out of 180 countries for freedom in participation and education of women (Kortam, 2014); and as per the World Economic Forum for 2013, it is ranked 125 out of 136 countries in discrimination between genders. According to these indicators, the Egyptian government should put in more efforts to improve Egypt's ranking in the level of participation and in education issues. One of the proposed approaches to doing this is increasing the female participation level by paying more attention to female participation in education. The government should focus on improving the education system and should introduce the concept of political participation in its curricula; this might be considered as an invitation to Egyptians to participate in political life.

Hatcher (2009) refers to the impact of politics in developing HR due to the changing nature of global societies, and perceives politics as one of the leading causes of sweeping economic globalization and changes in the workplace. Politics has an effect on organizations and on HR development in these organizations designed to deal with such factors. The HR role in organizations might include hiring qualified people, developing required skills and knowledge, training people to understand differences between groups of people and how to work in different groups rather than count on only one specific group on the basis of ethnicity, gender, age, economic status or political opinion. HR departments in

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organizations might also introduce certain practices in order to avoid causing conflict in the workplace due to differences in political opinions.

Egyptian culture is a blend of Arab and Middle Eastern influences (Parnell and Hatem, 1999), where the influence of the religion (Islam) may be significant in explaining dominant values, attitudes, behavioural expectations and behaviour at work (Leat and El-Kot, 2007). It is important to determine the principles of Islam on work-related issues in organizations and see if there is an implementation of these principles in reality. The Islamic principles refer to the performing of basic HR functions such as recruitment, selection, training, performance appraisal and compensation in accordance with guidelines prescribed in the holy book of Qur'an and sayings (Hadith) by Prophet Mohamed (Hashim, 2010). In which employees will inform the truth about the jobs offered that include job description, and compensation package. At the same time, according to Islamic values, the applicants are required to provide true and honest information about themselves as Islamic values expect people to behave with honesty and truth.

There is a direct effect of the Islamic perspective on HRM practices such as recruitment, selection, training and development, performance appraisal and compensation. From the Islamic perspective, the principle of justice should be implemented when selecting the right person for the job. Therefore, nepotism, favouritism, or egoism that reflects injustice is completely forbidden according to Islam (Ali, 1996; Hashim, 2010).

Selecting employees should also be based on employee's competencies. From the Islamic perspective, an employee is not being appointed to the job based on family relationships, friendship or any other criteria such as political power, age, gender or wealth (Hashim, 2010). With an Islamic view on HRM practices, honesty is important among managers to ensure that they make the right decisions in relation to their employees. Performance appraisal according to the Islamic point of view is recognized as a mechanism to ensure that every effort will be rewarded. Therefore, it is important to reward or at least acknowledge good performance and contribution of effort by individuals even if they do not meet their target as a motivational approach to do make more effort. Ali (2005) mentions that performance appraisal in Islam is based on the normative instructions and practice of prophet Mohamed. This means that each individual is responsible for his/her work and the responsibility associated with that work, and no one should be held responsible for the mistakes of others. Employees are expected to have the moral duty to monitor their performance without external supervision (Ali, 2005; Hashim, 2010). This means that employees should work hard, complete their duties with perfection and be responsible for what they do, irrespective of their positions in the hierarchy of the organization.

Training and development is important to increase employees' knowledge, skills and abilities at all levels and according to Qur'an, man's basic qualification for being the representative of God on Earth is possession of knowledge (Hashim, 2010). This gives priority to training and development of all employees if HR functions are implemented from an Islamic perspective.

As for compensation, Islam emphasizes that employers should give employees an adequate and reasonable compensation package for their work based on the quality of their work outcomes, based on their needs and also based on the overall economic condition of the society (Ahmed, 1995).

Concerning investigating Islamic Work Ethics (IWE) in Egypt, El-Kot and Burke (2014) examined the relationship of IWE and individualism among a large sample of

supervisors working in Egypt, replicating earlier work by Ali (2005; 1987). The comparison of the results of this research with those that have used IWE in a variety of other countries raises an interesting issue, i.e., managers and employees in all Middle Eastern countries that have completed IWE score very high on it. This means, managers and employees endorse IWE to a very high degree. Yet economic performance in these countries has lagged. This might be explained by more macro-level factors 'preventing' work-committed employees from being successful. These factors include badly trained supervisors, autocratic management styles, bureaucratic policies and structures and government regulations.

Burke and El-Kot (2011) argue for the importance of certain HRM practices in Egypt based on the examination of the Egyptian context to draw a number of tentative conclusions about the nature of HRM practices to be expected or which might be appropriate in Egyptian organizations. Given the influence of culture and Islam, it is expected that an Egyptian model or system of HRM will emphasize job descriptions which are implicit rather than explicit with long term employment, employee security and utilization of the internal labour market for filling vacancies. According to an ILO survey (ILO, 2010), it is expected that training will emphasize skills rather than general development, team working and a group or team focus to the organization of work and training and development. In addition, it is expected that compensation, pay and advancement will be based on seniority and an emphasis upon behaviour and relationships rather than task and individual performance, and perhaps skills acquisition rather than aspects of individual performance or outcome. It is also expected that organizations with a human resource strategy would have an impact on implementing HRM practices (Burke and El-Kot, 2011).

For Egypt's economic development, Egyptian organizations should focus on the development of their resources by creating a human resource department that is responsible not only for hiring and firing employees, but also for attracting, developing and retaining employees and focusing on increasing their motivation, commitment and loyalty towards their organizations. The future of Egypt doesn't need the traditional HR department that just focuses on the administrative work in dealing with employees from the entry stage (recruitment) through to the leaving stage (retirement) (Budhwar and Mellahi, 2007), it needs a strategic partner to foster competitive advantage and to give Egypt the stability to be able to compete globally. The mega projects proposed by the government need the cooperation between government, private sector and civil organizations to attract, train and develop the needed skills for the new jobs that will be created (IMF, 2015). Robbins et al. (2011) argue that HR is important for three reasons: (1) it could be a significant source of competitive advantage, (2) HRM is an important part of organizational strategies, and (3) the way organizations treat their people has significant effect on organizational performance. They argue for the importance of high-performance work practices for organizational effectiveness. In Arab countries, even if organizations do not use high-performance work practices, they should focus on some HR practices to ensure that they hire qualified people who are needed for the jobs; these HR practices should focus on: (1) selection function, which includes HR planning, recruitment and selection methods; (2) developing and updating employees' skills and knowledge through orientation and training; and (3) retaining qualified employees through performance management, compensation and benefits and career development.

Based upon the above, HRM practices play an important role in achieving success to

improve the economic and political conditions and work towards an ambitious development plan to rebuild Egypt. As Leat and El-Kot (2007) identify human resource development as a critical factor in determining the ability of Egyptian organizations to effectively confront external competition and make the best use of new technology. Iles, Almhedie and Baruch (2012) note that there is a need for increasing management awareness of the key role that HRM can potentially play in enhancing organizational effectiveness in the Middle East region. Therefore, recruitment, selection, training, performance appraisal and evaluation and compensation are important HRM practices that should be improved. The following part of the chapter will focus on HRM in Egypt.

SUMMARY OF HRM IN EGYPT

The concept of HRM was introduced in Africa in the 1990s, when personnel departments were changed into HR functionary departments, but without any significant changes in people management practice (Issa, 2011). In 1952, Egypt witnessed ambitious attempts to transform its economy from an agricultural to an industrial one, The year 1974 witnessed the start of the 'open door' policy, which included many laws to encourage the private sector, with a focus on revitalizing the industrial revolution to cope with the foreign companies entering Egypt, which needed to adapt and implement new methods for managing the administrative work. In the 1990s, the private sector started to take part in developing the Egyptian economy by creating more employment opportunities due to the structural readjustment program initiated by the government at that time. According to the Privatization Coordination Support Unit Report (PCSU, 2002), pre-privatization employment levels have been maintained at many privatized firms, and in a number of cases new job opportunities have been created. The total number of jobs lost due to privatization was estimated at 365,000 (assuming 10 per cent of the privatized labour force, and 167,000 early retirees), or about 36 per cent of the total labour force at the outset of the program. However, at the same time, the Egyptian economy was creating 436,000 jobs each year between the years 1991 and 1999. These new jobs needed qualified employees to perform the jobs effectively. Therefore, training was one of the priorities the administrative ministry had to deal with at that time.

The implementation of HRM practices in organizations in Egypt has been affected by many factors; one of them is the management style. During the 1950s and 1960s, Egypt adopted an autocratic management style, therefore there was a big gap between managers and employees and there HRM was missing. In the 1970s, due to the increase in private organizations, the relationship between employees and managers changed. The role of HRM started to occur in organizations as a personnel role. Given the high level of political concern with employment and social stability in Egypt in the 1990s, while recognizing the level of overstaffing in state enterprises, the government gave high priority to these factors when preparing to implement privatization by creating a social safety net in order to minimize negative impacts of privatization (PCSU, 2002). One of the main issues that the government focused upon at that time was providing labour assistance programmes such as job retraining, job placement and entrepreneurship schemes to the employees, which raised the importance of HRM. The privatization made considerable positive contribution to the government's adjustment and restructuring at that time.

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HR in government enterprises still plays a traditional role and is named the personnel or administrative department. The main focus is on payroll and the basic HR functions including hiring and less developmental performance appraisals. Budhwar and Mellahi (2006) note that job descriptions in Arab countries are produced as part of the personnel administration process, the same is the case in Egypt as there are missing job descriptions and, where they are in place, they are not updated and not properly implemented. Moreover, there is no clear link between job description and performance appraisal. On the contrary, the role of HRM in private and multinational organizations is implemented properly. Accordingly, the effect is clear in improving organizational satisfaction and employee satisfaction.

Although highly topical, not enough research has been conducted on HRM in Egypt, and HRM practices are still influenced by those of the West (Burke et al, 2011). Considering the changes taking place in Egyptian culture after the revolution, and the implementation of the new Civil Service Law, there is a need for introducing the new HR role in Egypt to its employees. Hence, training and orientation programmes play crucial roles in the success of the new Civil Service Law by increasing employees' awareness about the benefits that they might gain at their workplace (IMF, 2015).

Ramadan (2014) highlights some differences in the implementation role of HRM in Egypt before and after the Arab spring. He mentions that HR management suffered first from having to keep business operations running without any effects on employees' security. This was managed by decreasing the working hours and changing the work shifts for some organizations. Other organizations accepted the idea of flexible working hours and flexible system and allowed employees to work from home. This encourages HR management in Egypt to consider the opportunity of implementing the flexible work system not only at work but also in recruitment processes in the organizations when recruiting employees at that time. Ramadan (2014) also mentions that during the revolution period, permanent contracts, salary increases, developing retirement plans, incentives and profit shares were some of the HR issues raised by employees.

Due to the revolution, some differences in political belief were also found among employees in the workplace, which had some negative impacts on the work environment and work performance. Therefore, HR departments had to work to develop policies, encourage team building and link performance with incentives to encourage employees to focus on work and avoid any negative manners in their attitudes and behaviour at work due to these differences in political beliefs. Ramadan (2014) argues that there is no clear strategic planning in Egypt concerning its human resources, and he argues for the need to align the country strategy with the HR development strategy that should be delivered via specific HR initiatives. He also argues for the requirement for effective employee relations and work life balance. He further adds the necessity to develop the human resources who are capable of dealing with crises by focusing on risk management. Lastly, he highlights the need to change the labour law and adjust it to fit with the changes in the Egyptian context. To sum up and based upon the above presentation, HRM in Egypt focuses on the administrative role in the majority of cases and plays the HR functionary role on other occasions. There is no clear picture yet if it is playing the strategic role or not in Egyptian organizations. Next we highlight the core HR functions based on the available literature, which focuses on recruitment and selection, training, performance appraisal, and compensation.

Recruitment and selection: Aladwan, Bhanugopan and Fish (2014) argue for the importance of recruitment and selection for business competitive advantage and refer to the problems that recruitment and selection processes face in Arab countries, which is reflected in the absence of job descriptions for employees. They argue that the job description is produced just for the procedural work at the organizations as an administrative process.

El-Kot and Leat (2008) note that in Egypt, recruitment and selection is not subject to legislation encouraging equality of opportunity and seeking to prevent discrimination, though there are some restrictions upon the employment of foreign nationals, for example. The importance of relationships, loyalty to the group and friendship are considered as a cornerstone of Egyptian culture because nepotism has been common in recruitment and promotion practices.

In Arab countries, vacant positions are usually filled through connections and often friends and relatives are offered the jobs even if they are not qualified (Budhwar and Mellahi, 2006). Nepotism is also found in Egypt in the recruitment and selection process. El-Kot and Leat (2008) argue that in Egypt, there is widespread use of both internal and informal recruitment practices. They found informal mechanisms such as word-of-mouth have advantages in terms of maintaining a family dimension to organizations, with the importance of friendship and relationships providing a means through which effective peer pressure can be used to exert control, with preferences to fill vacancies internally. They conclude that Egyptian organizations continue to use traditional methods in recruitment and selection but when confronted with the need to be competitive, a poorly educated and relatively unskilled labour force, and labour and skill shortages, they are ready to adopt new methods and technologies and also to use a range of methods to get talent. They also found evidence of the use of the web based recruitment in some cases. El-Kot and Leat (2008) suggest that organizations in Egypt are using the same three traditional methods, which have been found to be popular in other parts of the world, i.e., interviews, application forms and references.

Concerning the responsibility for recruitment and selection, El-Kot and Leat (2008) and Darrag, Mohamed and Abdel Aziz (2010) refer to the shared responsibility between HRM professionals and line management with evidence of increasing devolution of this responsibility to line management, which is giving the upper hand to HRM departments in organizations. This is consistent with western models of HRM arguing a more strategic role for HRM within organizations, the advantages claimed for the involvement of line management, and a desire on the part of line management to be involved in the decisions regarding the staff working directly for them.

Training and development: Aladwan, Bhanugopan and Fish (2014) refer to the important need for training and development in Arab countries to draw a future training and development map for HR practitioners. They argue that training and development is considered as the most important indicator of HR development as it increases and modifies the knowledge, skills and capabilities employees and managers have to perform their jobs more effectively to contribute to organizational success.

Training in Arab countries in the majority of cases is still not shown as a significant function that contributes to organizational success, but is considered as a leisure time activity, which is normally offered to relatives or friends of managers (Aladwan, Bhanugopan and Fish, 2014); this is the same in Egypt. Human capabilities are relatively

fixed and limited and in consequence career planning and progression with supportive training within organizations tends to be extremely limited. However, where new skills are needed and there are shortages in the external labour market and where human resource development is a priority (Evans-Klock and Lim, 1998), employers have little option but to try and develop skills within. The focus upon job-specific training and specialized career paths demonstrated by these employers is explicable. The influence of Islam suggests that employees are likely to be receptive to the acquisition of new skills even though this may appear to be at odds with the strong desire to avoid uncertainty and ambiguity. The low individualism of Arab countries would support a team rather than an individual focus to training and development that is undertaken; therefore, self-training or self-development is given more importance than organizational development among qualified employees.

Performance appraisal: Aladwan, Bhanugopan and Fish (2014) argue that performance appraisal systems and performance management evaluations are critical topics within the HRM field, and further argue that performance appraisal has not received the appropriate attention in Jordanian organizations. This may be the same case in Egypt. Leat and El-Kot (2007), investigating performance appraisal in Egyptian organizations, found a preference for outcomes rather than process or behaviour as the criteria of performance appraisal. The performance appraisal system is conducted once a year by direct managers and not necessarily linked to promotion or training needs. They argue that the awareness of the sociocultural context in Egypt would encourage the conclusion that performance appraisal is an inappropriate activity in Egyptian organizations, even from a developmental perspective, unless it is group based and concerned with behaviours and relationships rather than task outcomes. It is also worth noting that Egyptian organizations have been exposed to Western influences and management practices, exhorted to improve efficiency and productivity, and in this context it is understandable that employers are practising outcome-based appraisal.

Compensation: Compensation in Egypt is implemented the same way as found in the majority of Arab countries, i.e., normally the government controls the minimum and maximum wages and salaries for all employees in all sectors. As mentioned by Budhwar and Mellahi (2006), the reward system is related to the employee's experience, age and position. The majority of employees receive a basic salary in addition to bonuses and incentives that are determined on the basis of an employee's position, age and type of work. Leat and El-Kot (2007) indicate that wage structures tend to be based on job evaluation rather than being skills based and pay increases are related to performance rather than seniority. The cultural profile of low individualism, strong desire to avoid uncertainty, moderate masculinity and strong power distance implies that appropriate compensation systems should be standardized, emphasize hierarchy and seniority, group rather than individual behaviour and the importance of relationships rather than performance. The influence of Islam is generally supportive of this in that while hard work is perceived to be a source of financial independence, this is accompanied by a strong ethical and moral stance and a belief in an equitable distribution of wealth in society. Moralism rather than materialism is likely to be the basis for measuring individual achievement (Kanungo and Jaeger, 1990).

HRM in SMEs

The Egyptian government is attempting to increase the size of the SME sector by making finances available, addressing corruption in the SME sector, and streamlining government bureaucracy. El-Kot and Burke (2014) found emerging evidence that the use of HRM practices can contribute to the effectiveness of SMEs. These HRM practices can contribute to improvements in employee attraction and selection, motivation, development, and retention. With such improvements, one can expect higher levels of SME performance. The findings showed the important role played by HRM practices in organizational performance. Genc (2014) found that there is a relationship between SME size and HRM activities. He found that the percentage of employees who face formal appraisal systems in small organizations is higher when compared with the large ones; with more focus on training programs to keep talented employees. Concerning the potential job opportunities developed by SMEs in Egypt, Handoussa (2010) suggests that the National Micro, Small and Medium Enterprises (MSME) Development Strategy will lead to an expanding MSME sector in Egypt. A 30 per cent increase in the number of MSMEs by 2013 (i.e., the addition of close to one million) and an increase in the average size of MSMEs from 2.3 to 2.5 workers were projected to result in an additional 2.25 million MSME job opportunities over the following five years (an average of 450,000 per year). This highlights the importance of SMEs in the recovery of the Egyptian economy and of giving much more care to training programs that need to be implemented. In addition, this links up with Egypt's 2030 developmental strategy, which proposes to focus on HR development through the new constitutional articles.

Factors Affecting HRM Implementation

Friedman (2013) refers to four important factors affecting HRM in any country: government regulations, economic conditions, technological advancements and workforce demographics.

Government regulations influence every process of the HR department, including hiring, training, compensation, termination, and much more. Without adhering to such regulations a company can be fined extensively, which if it were serious enough, could cause the company to shut down. In Egypt, according to the Egyptian constitution (2014), equality, children, women and the disabled are supported by delivering equal opportunity in hiring, and focus on training is based on the need analysis and fair performance appraisal. No discrimination in pay based on gender differences is expected when doing the same jobs; this is mentioned as one of the criterion for equal opportunity. Compensation is based on a 40 hours working week, the pay rate for overtime and the minimum wages mentioned protect employees' rights and also protect employees' investment in their pensions. A safe and secure workplace environment is also expected to be provided by employers to protect employees' health and safety. Organizations in Egypt should consider all these related issues in law and regulation for its HR functions to protect the employees' right in the workplace.

Economic conditions are considered as the biggest external influencer shaping an economy. Not only does it affect the talent pool, but it might also affect one's ability to hire. One of the main ways to prepare against economic conditions is to not only know

BUDHWAR 9781784719517 PRINT (M4083).indd 215 08/09/2016 16:18

what is happening in the world around you, but also to create a plan for when there is an economic downturn. All companies in the country can make do in a bad economy if they have a rainy day fund or plan to combat the harsh environment. According to Egyptian economic reform programs, that is, attracting investments to help Egyptian economy to grow, HR should be seen as a source of competitive advantage and organizations should have efficient selection, training and development, performance appraisal, wages and salaries to retain talent in their organizations (Genc, 2014).

Technological advancements are considered as an external influence because when new technologies are introduced the HR department can start to look at how to downsize and how to save money. A job that used to take 2–4 people could be done by a single person. Technology is revolutionizing the way we do business and not just from a consumer standpoint, but also from that of internal cost-savings. Genc (2014) argues that organizational revenue will grow with more technology implemented in the business environment, which would improve wages and salaries of employees. Technology has its impact on the HRM practices such as recruitment and selection, training and development, performance appraisal and wages and salaries. With more technological advances, fewer employees might be needed to do the same job, which means more qualified employees will be needed. Organizations in Egypt should focus more in training and development programs to keep its talent and to prepare other employees to fit the job requirement, especially when focusing on the new mega projects.

Workforce demographics covers issues related to an older generation retiring and a new generation entering the workforce where the human resources department must look for ways to attract a new set of candidates. This would affect the methods of hiring and the kind of offers that suit the younger generation. As mentioned above, 75 per cent of Egyptians are under the age of 25 with just 3 per cent over the age of 65, making Egypt one of the most youthful populations in the world. Therefore, focusing on the youth for Egyptian development and attracting investments, improving the business environment, supporting large and medium size firms and promoting entrepreneurship are needed to reduce unemployment by creating decent jobs. Organizations should bring into consideration the long-term contracts, retirement plans, and other compensation issues.

Socio-cultural context refers to analysing a situation from the viewpoint of relevant social and cultural attitudes and values, which are shaped by society and culture (https://publicprojects.mop.gov.eg). There are some differences between what is expected when implementing IWE and the reality. In Egypt, one might argue that there is a rapid emergence of many unique formations of youth subcultures, mainly driven by the transitory political scene. Subcultures have formed through the process of socio-cultural change. El-Kot and Leat (2007) suggest that the Egyptian culture is a blend of Arab and Middle Eastern influences and argue that the influence of Islam may be significant in explaining dominant values and attitudes, behavioural expectations and behaviour in the workplace. El-Kot and Burke (2014) argue that IWE emphasize and encourage hard work; engagement in economic activity is perceived as an obligation. It stresses honesty and justice and an equitable and fair distribution of wealth in society, and encourages the acquisition of skills and technology. IWE also emphasize cooperation and consultation in work, the latter being seen as a way of overcoming obstacles or avoiding mistakes. Social relations at work are also encouraged; it is important to have good relationships at work with both equals and superiors partly for the satisfaction this brings of itself and

BUDHWAR 9781784719517 PRINT (M4083).indd 216 08/09/2016 16:18

partly because links inside and outside work can be vital to survival and success. El-Kot and Burke (2014) raise the following question: why are levels of economic performance in Egypt relatively low despite very high levels of commitment to IWE from employees? They suggest that the answer might be in the inefficient use of Human Resources and the feeling that corruption is adversely affecting many organizations, which could affect employees' motivation level and performance.

Egyptian employment law – the Egyptian labour market is regulated by the unified Labour Law No. 12 for 2003, which includes regulations regarding the content of employment contracts which must include details concerning the job description and the contract period; restrictions upon probationary periods (which must not exceed 3 months) and fixed term contracts; the conditions under which employees may be dismissed; maximum hours and days of work per week; minimum paid holiday entitlements; minimum annual paid sick leave entitlements, minimum paid maternity leave; minimum annual percentage increments; and compulsory profit sharing.

Minimum and maximum wages – the government's official legislative gazette published the regulations for setting maximum wages, with no exemptions for the judicial system, police forces or banking sectors. The regulations also illustrate that maximum wages will be applied to administrative authorities that belong to the state, economic bodies and holding companies. These regulations indicate that maximum wages will be applied to the Central Bank of Egypt, Nasser Social Bank (NSB), National Investment Bank (NIB) and Principal Bank for Development and Agricultural Credit (PBDAC). Maximum wages will also be applied to general authorities and holding companies in the country. This includes the Egyptian Post Authority, the Egyptian General Petroleum Corporation (EGPC), the Egyptian Petrochemicals Holding Company (ECHEM) and the Food Industries Holding Company. The list also includes the Egyptian Radio and Television Union (ERTU), National Telecommunications Regulatory Authority (NTRA), Egyptian Competition Authority (ECA), Consumer Protection Agency (CPA) and Al-Azhar institutions. Not all employees in the Egyptian context are happy with these decisions concerning the minimum and the maximum wages level, which appear to increase the resignations from some managers in the top levels of these organizations.

HRM CHALLENGES AND OPPORTUNITIES

Due to the revolution in 2011, the political and economic factors remain uncertain, given the high level of corruption, high level of unemployment especially among educated youth, lack of transparency, low level of enterprise creation, low female employment or participation and high level of poverty in Egypt. According to the IMF (2015), there is a real need to encourage a teamwork concept and develop a sustainable development strategy that would involve the government, the private sector, the civil society and other international communities to rebuild a new Egypt. Currently, there are many challenges facing Egypt and HRM implementation; perhaps the biggest challenge for the government, given the young population of the country, is that of job creation (Oxford Business Group, 2013). Handoussa (2010) highlights that Egypt's challenges include long-standing challenges such as gender equity, political participation, transparency and public accountability, and strengthening respect for human rights. Muwanga (2011) argues that

human rights emphasize that recruitment and promotion must be competency based and follow transparent and objective procedures to implement the equal opportunity concept in the workplace with a focus on continuous updates to employees' skills through training and development programs that are related to performance. Also, fostering open discussion between managers and employees to enhance their involvement, which would improve their motivational level at work. Fair compensation, satisfactory reward and career paths based on fair performance appraisals should also be considered to deal with these challenges.

There are other important challenges and opportunities facing the Egyptian society, which would have impacts on the implementation of HRM in Egypt. Some of these challenges and opportunities include the following.

Unemployment rate: CAPMAS, Egypt (2014) reports that the unemployment rate in Egypt remains unchanged at 13.40 per cent in the first quarter of 2014 from 13.40 per cent in the fourth quarter of 2013. The unemployment rate in Egypt averaged 10.55 per cent between 1993 and 2014, reaching an all-time high of 13.40 per cent in the third quarter of 2013 and a record low of 8.10 per cent in the second quarter of 1999. According to the UNDP (2006), over the past few decades, women in Egypt have achieved remarkable gains in education, political participation and economic independence. However, despite these improvements gender inequalities continue to be a challenge. Today more than half of the women in Egypt remain illiterate in comparison to less than one third of males. Female rates of unemployment stand higher than those of males. The new projects proposed by the government will create new jobs for Egyptians, especially with the focus on the SMEs supported by the government and there are also new jobs to be offered in the new area at the New Suez Canal project. This would help in decreasing the unemployment rate in Egypt in the future.

Over-employment in the public sector: As reported by the ILO (2010), according to the 2006 Census almost 27 per cent of workers are employed in the government and public sectors. Despite the fact that the Egyptian government abolished the guaranteed employment scheme in the 1990s, public sector jobs are still attracting a large proportion of young graduates. This could be explained by the lack of entrepreneurship spirit, misconceptions regarding certain occupations, and a general mistrust in private sector practices. It has also been observed that public sector jobs remain of particular attraction as they provide high levels of protection in relation to the termination of contracts, social insurance, and comfortable working conditions. According to the new Civil Service Law, 2015, with the new HR system that will be implemented in the government sector, only competent employees will remain in jobs and this will help in solving the over-employment in government organizations.

Low productivity and wage levels: American Chamber of Commerce (2009) refers to the weak link between pay and productivity in Egypt. They argue that productivity problems in Egypt include most particularly a high labour turnover, lack of skills, and a significant degree of absenteeism. They also refer to job-matching procedures which often hinder vacancies being filled with the most qualified people. Senior positions are reported to be frequently filled by friends or relatives without regard for merit, which is not expected in an Islamic country implementing IWE at work. The new constitution and the new Civil Service Law argued for the right wages and treatment for all employees, with the offer of a guarantee of minimum and maximum wages. By implementing such a fair HR policy

BUDHWAR 9781784719517 PRINT (M4083).indd 218 08/09/2016 16:18

on compensation in the governmental sector, employees' productivity will increase due to feelings of satisfaction and trust in their government's decisions.

Child labour: In Egypt, child labour is still a widespread practice, especially in small towns and rural areas. Areas such as the Damietta region have the highest rate of child labour in the country. In this region, which is a major producer of wood furniture, some children are forced to labour all day in workshops (ILO, 2010). One of the challenges for the Egyptian government is to enable children to find their way back into school or receive vocational training. In Damietta province, child labour is a common practice that involves nearly 80 per cent of children. Many of them are forced to work between eight and nine hours a day. This is considered as child abuse and the Government should work on implementing child protection policies by encouraging the reduction of child labour. This is important to promote children's physical and psychological wellbeing in Egypt.

Mismatches between supply and demand: According to ILO (2009), the demand-supply mismatch refers to both the number of jobs available (quantity) as well as the skills required (quality). Although there are some improvements in the quantitative indicators for education in Egypt, the overall quality of education is still considered as inadequate, and the link between the education system and the labour market is often missing. Sectors such as manufacturing, tourism and construction lack workers with adequate skills. The stark mismatch between outputs of education and vocational training institutions and labour market demand is causing serious economic bottlenecks. It is generally observed that the large majority of firms do not provide their employees with any structured training, with the exception of very limited on-the-job training for basic production skills. Only a small number of large local firms and multinational corporations allocate some resources for training and use more diverse training methods than the traditional on the job training. According to the 2030 'sustainable strategy', with the real role of investing in human resources, there is a need to link the curricula offered in educational institutes at all educational levels with what is needed by society. Training and developing employees is as important as offering those educational certificates. Vocational education and vocational training is considered an important sector that the government in Egypt should focus on developing in the future. HR policies and procedures in organizations should focus on analysing the skills requirements for each job to allow a best fit between employees/candidates and the jobs. It might be suggested that there is a need to engage employers in the formulation of curricula and training and development policies and programmes.

Youth emigration: Some changes are observable in youth's attitude to migration due to the political and depressing economic situation since 2011. The International Organization for Migration (IOM) surveyed youth migration intentions (IOM, 2011) and revealed that the first few weeks after the Egyptian revolution on 2011 did not seem to have directly influenced the decision of Egyptian youth to emigrate. However, the job and income losses that were the direct result of the contraction of economic activity following the January 25 revolution may have acted as the primary push factor for youth who reported intentions to migrate. The survey findings revealed that unemployment, corruption, security, wages and constitutional reforms are the most important issues concerning young Egyptians after the events of 25 January. Egyptian youth is cautiously optimistic regarding the political situation, security, economy and household income security. In relation to employment, before 25 January, 50 per cent of the respondents were working,

BUDHWAR 9781784719517 PRINT (M4083).indd 219 08/09/2016 16:18

mainly in the service sector and industry. The open participation between the government and the youth in the coming years is considered as a key factor which might persuade the youth to stay in the country. The youth empowerment policy offered by the government at the beginning of 2015 is a new way to attract the youth to be part of the country.

Civil society role: Handoussa (2010) notes that civil society and its organizations have a significant role to play in national development, in partnership with the government and the private sector as a result of their experience in welfare and social development programs, because they are home to important interest groups, and since they are able to give voice to those many segments of society that have been marginalized.

Syndicates role: Article 77 in Egyptian constitution 2014 states that:

> the law shall regulate the establishment and administration of professional syndicates on a democratic basis, guarantees their independence, and specify their resources and the way members are recorded and held accountable for their behaviour while performing their professional activities, according to ethical codes of moral and professional conduct. No profession may establish more than one syndicate. Receivership may not be imposed nor may administrative bodies intervene in the affairs of such syndicates, and a judicial ruling may only dissolve their boards of directors. All legislation pertaining to a given profession shall be submitted to the relevant syndicate for consultation.

This would have effects on the HR policies and procedures in organizations by requiring them to update their policies in relation to a union role towards employees' rights. This might also have an impact on the structure of the labour contracts by modifying the compensation to match with the minimum wage and in improving working conditions for workers.

The informal labour market: According to the ILO report (2014), the Egyptian economy is characterized by a large and growing informal sector that has been a major source of job creation for some time. However, the jobs created in this sector are not decent enough in terms of wage, sustainability and work conditions. The report added that a lot of jobs in the informal sector lack stability due to the absence of social security coverage and work contracts, as employers refuse to enter into binding work contracts and complain about the high cost of the social security system. According to ILO (2014), informal employment reached 10.8 million in 2008, representing 48.1 per cent of total employment. Approximately 20 per cent of informal employment was among females, representing 48 per cent of total female employment. Overall almost 23.7 per cent of employed Egyptians work in the government and 3.4 per cent in the public sector, while the private sector employs 22.9 per cent in the formal private sector and 48.1 per cent in the private sector outside establishments, which has been taken as a proxy for the informal sector.

Women's empowerment and gender equity: The Egyptian constitution guarantees the same respective rights to men and women. However, the culture now seems to be less accommodating in opening the doors for women, especially to enter the workforce and employment, with a regression in the female participation rate to under 20 per cent. Political and even judicial institutions also show slow movement forward, in contrast to other social indicators, especially on the education, health, and personal status fronts. The National Council for Childhood and Motherhood (NCCM) and the National Council for Woman (NCW) have both provided an institutional framework to address gender issues and support women's participation in the development process. The NCW

BUDHWAR 9781784719517 PRINT (M4083).indd 220 08/09/2016 16:18

has spearheaded a number of institutional reforms for more participation of women in government bodies, legislative changes to enhance civic and marital status, and the mainstreaming of gender issues in the national planning process. One important reform has been the introduction of gender responsive budgeting (GRB) in ensuring gender parity. Nonetheless, there is still a long way to go in meeting the challenge of gender equity, not only in the economic and political spheres, but also in socio-cultural life.

According to an UNDP report (2010), the government of Egypt has shown a commitment to gender equality and the empowerment of women. The reports shows that the gender target in primary education is very likely to be achieved by 2015 while female enrolment rates in general secondary education is higher than those of boys and the gender gap in secondary education is expected to exceed the expected target in 2015. Concerning female literacy, the gender gap was expected to reach 0.4 per cent in 2015, but the share of women in waged employment in the non-agricultural sector is very low and it is not expected to change significantly in the next few years. According to Handoussa (2010), the female participation rate in the labour market in 2008 lagged far behind that of males (22.7per cent for females compared to 75.5 per cent for males), and achieving gender equality is not expected by 2015. At the same time, the unemployment rate of women at the national level in 2009 reached 22.9 per cent (4.3 times the rate for men of 5.3 per cent). The share of women in wage employment in the non-agriculture sector is also very low and declined in the period 1990–2005. Female representation in both houses of parliament is still far below equality.

Industry diversity: Egypt is a relatively industrialized country, especially in textiles and garment manufacture, cement, metal works of various kinds, and armaments. Various makes of automobile are assembled in Egypt. In the second half of the twentieth century, many of these industries were government-owned. At the end of the twentieth century, they were in the process of being privatized. There are also many small private workshops producing shoes, doorframes, furniture, clothing, aluminium pots, and similar items for local consumption (www. everyculture.com). The government is trying to encourage SMEs to use its youth for improving the economic development as part of the economic reform program that Egypt is implementing (Egypt vision 2030). However, Handoussa (2010) believes that the MSME sector in Egypt suffers from many constraints such as: (1) Demand constraints, such as the weak purchasing power of their low-income customers, and limited linkages to larger firms; (2) Input constraints, such as low utilization of technology, inadequate access to finance and to business development services; (3) Labor constraints, due to a scarce supply of skilled and trained workers and inability to pay high wages and cover high non-wage labour costs; and (4) Legal and regulatory constraints, which impose heavy compliance burdens and costs on the smallest enterprises, leading to the high level of informality. In Egypt, due to the sectorial or industrial diversity, HRM practices should differ to fit with each industry need. Organizations should be aware of the importance of training and compensation to keep talent.

CONCLUSION

This chapter started by highlighting the importance of the HRM role in Egypt with a description of the Egyptian business context and the effect of the socio-culture and

religion on the implementation of HRM in Egypt. A summary of HRM in Egypt was provided with a focus on core HRM practices such as recruitment and selection, training and development, performance appraisal and compensation. The final part of this chapter focused on the factors affecting HRM implementation and highlighted the challenges and opportunities that HRM faces in Egypt.

Based on the above analysis, it can be concluded that HRM in Egypt has received little attention and there is still a long way to go towards changing the HRM role from the administrative role to the strategic role in Egyptian organizations. By investigating the socio-culture factors of Egypt and the economic and political reform programs that are proposed to improve the economic growth, it can be concluded that there is a need to focus on the important role of HRM as it plays a crucial role in organizational success.

As Egypt has a rapidly growing young population, training and development would be the key for success in the Egyptian context by investing in education, training to prepare the new generation to match the workplace requirements. There is a need to utilize the concepts of talent management to encompass employee development, recruitment, and selection and retention issues, therefore, it is suggested that companies need to embrace the new web based technologies to attract talent and embrace flexible working and contracts to enable more women to work.

Egypt suffers from many challenges such as a lack of government transparency and a disrespect for personal/human rights and dignity (The World Bank, 2014). A high level of corruption and crony capitalism has probably added to Egyptians' sense of unfairness with high levels of favouritism, high unemployment rates, high poverty rates, low foreign direct investment and low standards of living (Abdou and Zaazou, 2013; Ghanem, 2013). In addition to the absence of social justice (Mansour, 2012) and the absence of economic and political reform in Egypt (Ghanem, 2013); such challenges seem to have contributed to the Egyptian revolution in January 2011 which occurred as a result of both social inequality and political instability.

There are some proposals from the Egyptian government (over recent years) to deal with these problems which negatively affect the country's economic growth and political stability by introducing the Egyptian constitution 2014 that includes 247 articles for Egyptians' wellbeing. By implementing equal opportunities among employees and delivering fair compensation packages to them, offering employment contracts and focusing on the importance of the job description and the performance appraisal criteria as well as recruitment and selection being based on qualifications and not nepotism, proper HRM practices would help in creating trust among employees at the workplace.

It is important to update HRM policies and procedures in organizations to protect employees' rights in the workplace and to match with the new constitution articles. The HRM role is crucial in Egypt, not only in moving it from an administrative role to a strategic role but also in dealing with the new issues appearing since the revolution such as diversity of beliefs and the effect of religion on employees' behaviour in the workplace. Focusing on gender equity and issues such as female participation in education, finding jobs and participation in political life are considered a real need for females in Egypt to feel equality in their society. The mega projects proposed by the Government in March 2015 have the potential for re-building the Egyptian economy. The role of HRM in improving Egyptian organizational performance by focusing on

training and development programs to retain talent, other HRM practices such as recruitment and selection, performance appraisal and wages and salaries should also be considered.

Buciuniene and Kazlauskaite (2012) argue for the critical role that HRM plays in promoting and enhancing corporate social responsibility (CSR) as HR contributes to the development of synchronicity between economic goals, social goals and organizational performance. This means that organizations should recruit and select employees with certain morals and values, and develop an appraisal system which would help to enhance employees' social performance. They should also focus on training and development to help employees understand these values and reward employees for the value attunement. This is important in creating a positive attitude and behaviour characteristics at workplace. Zizek and Mulej (2013) suggest that CSR has positive impacts on organizational performance and organizational growth and development and employees' wellbeing through HRM in any organization.

There is also a need to make a deliberate effort towards empowering a professional HRM role as a strategy in Egyptian organizations to gain efficient and effective organizational performance. Egyptian organizations can contribute more effectively to Egyptian society if they give more attention to HRM practices and their implementations at an individual and organizational level of performance. Some advice to the policy makers would be to invest in the youth, create jobs, provide the right training, implement equal employment opportunity (EEO), encourage investments, empower women, work hand in hand with civil society, encourage participation in political life and build trust in government as these are the key factors in re-building Egypt.

USEFUL WEBSITES

American Chamber of Commerce: http://www.amcham.org.eg.
Countries and their Cultures: http://www.everyculture.com/Cr-Ga/Egypt.html#ixzz38NpWML79.
Economy Watch: http://www.economywatch.com/economic-statistics/country/Egypt/2014.
Egypt Economic Statistics and Indicators 2014: http://www.tradingeconomics.com/egypt/gdp-per-capita.
Reuters Middle East. Sisi's economic vision for Egypt: back to the future, 22 May 2014: https://en-maktoob.news.yahoo.com/sisis-economic-vision-egypt-back-future-133555142.html.
The World Bank: http://www.worldbank.org/en/country/egypt/overview.

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